Underwriting Guidelines:

Term Loans

10/28/2025

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1 Deleted

2 Loan Products / Terms

2.1 Property Types

Diya Finance only finances non-owner-occupied residential properties.

Loan terms may differ based on unit count within each collateral property. The different sections of the Guideline Matrix outline the loan terms available for each property type.

2.1.1 Single-Family Residential (SFR)

A single residential property. Can be either a detached unit or a single condo/townhome unit with its own legal description and parcel number.

2.1.2 Single-Family Residential (SFR) (2-4 Units)

A single property that includes between two and four attached or detached residential units on a single parcel.

2.1.3 Multifamily (5-8 Units)

A single property that includes between five and eight attached or detached residential units on a single parcel.

2.1.4 Mixed-Use

Mixed-use properties are a mix of residential and commercial units. Mixed-use properties are NOT eligible for Diya loans.

2.1.5 Single Property vs. Portfolio

A loan on a single property is considered a Single Property Loan. Diya can also lend on multiple separate properties, called a Portfolio Loan.

Portfolio loan requirements:

- All properties must be located in the same county unless the Title company can cover cross-county properties.
- Properties to be cross-collateralized.
- Release prices: 120% of par. See 'Partial Releases' section for details.
- Substitution is not allowed.

2.2 Loan Types

These guidelines are for Term (DSCR) loans only. Other loan types have their own Underwriting Guideline documents.

2.3 Loan Purpose

Loans will only be provided for Business Purpose. Borrowers are required to execute loan documents such as a Certificate of Non-Owner Occupancy, Business Purpose of Loan Certification, or similar, certifying that the Borrower will not occupy the property as a first or second residence.

2.3.1 Purchase

Loan funds are used to finance the purchase of a property.

2.3.2 Rate/Term Refinance

Loan funds are used to:

- Pay off existing debt secured by the subject property in first trust deed position.
- Pay off existing debt secured by the subject property in subordinate position, provided the subordinated debt is not a HELOC and at least 12 months of seasoning has occurred.
- Buy out a co-owner.
- Cover loan fees and costs shown on the settlement statement.

Cash-out is determined by the amount shown going to the borrower on the executed settlement statement. Cash-out is allowed if limited to the lesser of 2% of the loan amount or $2,000.

2.3.3 Cash-Out Refinance

Loan funds are used to:

- Provide cash to the borrower.
- Cash out can be used to satisfy liquidity reserve requirements.

2.3.4 Delayed Purchase

If a borrower purchases a property using cash (no debt on the property), they can obtain a loan using the Purchase terms, provided the loan closes within 180 days of the acquisition date.

2.4 Minimum/Maximum Loan Size

Reference the Guideline Matrix.

2.5 Loan to Value (LTV)

2.5.1 LTV Calculation

Loan-to-Value is calculated using the full loan commitment divided by the value of the property. Value is determined as the lesser of:

- Appraised as-is value
- Third-party review value
- Purchase price (if loan is for a purchase or delayed purchase)
    - Maximum seller concession is 2%
    - Maximum assignment fee is 20%

2.5.2 Maximum LTV

Maximum acceptable Loan-to-Value is affected by several factors, including guarantor's credit score, DSCR, Loan Type, Payment Type, and others. Reference the Guideline Matrix for details.

2.6 Loan to Cost (LTC)

2.6.1 LTC Calculation

Loan-to-Cost is calculated using the full loan commitment divided by the cost of the project. For Term loans, LTC is only relevant for cash-out refinances on properties that were acquired within the last 6 months. This is typically a fix n' rent scenario where the borrower purchases a property with cash, rehabs it with cash, rents it to a long-term tenant, and then requests a cash-out refinance Term loan to recoup their invested cash and hold the investment long-term.

Costs that count toward LTC are those that added value to the property, such as:

- Property purchase price
- Construction costs
- Rehab costs
- Soft costs for completed construction/rehab work

Costs that did not add value to the property are NOT included in LTC, such as:

- Financing costs
- Loan interest
- Soft costs for work that was not completed
- Property taxes
- Insurance
- Property management fees
- HOA fees

2.6.2 Maximum LTC

Maximum acceptable Loan-to-Cost is affected by the time between property acquisition and loan closing. Reference the Guideline Matrix for details.

2.7 Payment Type

2.7.1 Principal & Interest (P&I)

A fixed monthly payment with a portion that pays interest due and the remainder paying down the loan's principal balance. The payment amortization calculates how many monthly payments are required to pay the loan balance down to $0. Payments are typically amortized over 30 years (360 months).

2.7.2 Interest-Only (I/O)

Monthly payments pay only the interest due on the loan for that month. The loan's principal balance is not paid down.

Interest-only payments are only available with ARM products. The loan will be interest-only for the initial term of the ARM, then convert to P&I payments amortized over the remaining term. For example, a 7/6 ARM is a 30-year loan, with the first 7 years paying I/O, followed by P&I payments amortized over the remaining 23 years.

2.8 Interest Rate

2.8.1 Fixed Rate Mortgage (FRM)

Interest is fixed for the life of the loan. FRM is NOT allowed for MF or MU loans >$2,000,000.

2.8.2 Adjustable Rate Mortgage (ARM)

Interest is fixed for the initial term, then converts to P&I payments and reprices on a set schedule. For example, a 10/6 ARM is fixed for 10 years paying interest-only, then reprices based on a spread over an index, converts to P&I payments, reprices again every 6 months. ARM options include 10/6, 7/6 and 5/6. Note: the P&I payments are recalculated with each rate reprice to ensure the fixed monthly payments will fully pay off the loan by loan maturity.

2.9 Adjustable Rate Mortgage (ARM) Details

2.9.1 I/O ARM Options

5/6 ARM – 5 years fixed rate paying I/O, followed by P&I payments amortized over the remaining 25 years, rate resets at the start of Year 6 and every 6 months thereafter.

7/6 ARM – 7 years fixed rate paying I/O, followed by P&I payments amortized over the remaining 23 years, rate resets at the start of Year 8 and every 6 months thereafter.

10/6 ARM – 10 years fixed rate paying I/O, followed by P&I payments amortized over the remaining 20 years, rate resets at the start of Year 11 and every 6 months thereafter.

2.9.2 P&I ARM Options

5/6 ARM – 5 years fixed rate paying P&I, amortized over 360 months. The rate resets at the start of Year 6 and every 6 months thereafter. The payments are reamortized over the remaining life of the loan with each rate reset.

7/6 ARM – 7 years fixed rate paying P&I, amortized over 360 months. The rate resets at the start of Year 8 and every 6 months thereafter. The payments are reamortized over the remaining life of the loan with each rate reset.

10/6 ARM – 10 years fixed rate paying P&I, amortized over 360 months. The rate resets at the start of Year 11 and every 6 months thereafter. The payments are reamortized over the remaining life of the loan with each rate reset.

2.9.3 Rate Reset

Index: 30-day SOFR

Margin: 5.25%

Caps:

- Initial Rate Reset: 2.00% on 5/6 ARM; 5.00% on 7/6 ARM and 10/6 ARM
- Periodic Rate Reset: 2.00%
- Lifetime Rate Reset: 5.00%

Floor:

- Initial Rate Reset: NONE
- Periodic Rate Reset: NONE
- Lifetime Floor: ORIGINAL/INITIAL NOTE INTEREST RATE

2.10 Debt Service Coverage Ratio (DSCR)

2.10.1 DSCR Calculation

DSCR is calculated by dividing the property's cash flow by the loan's debt service. There are two methods: PITIA and NCF. See Exhibit D for a detailed breakdown of each method.

2.10.1.1 PITIA

This method takes the property's gross income divided by debt service and PITIA expenses. PITIA is an acronym for **P**rincipal, **I**nterest, property **T**axes, **I**nsurance, and homeowner's **A**ssociation fees. This method is only used for Single-Family (1-4) properties, up to 10 property-portfolios. Reference the Guideline Matrix for DSCR requirements.

2.10.1.2 ITIA

This method is the same as PITIA, but for Interest-Only loans. Since there is no principal payment on an interest-only loan, we remove the "P". ITIA is an acronym for **I**nterest, property **T**axes, **I**nsurance, and homeowner's **A**ssociation fees. This method is only used for Single-Family (1-4) properties, up to 10 property-portfolios. Reference the Guideline Matrix for DSCR requirements.

2.10.1.3 Net Cash Flow (NCF)

This method takes the property's gross income, subtracts operating expenses, and divides by debt service. The NCF method must be used for Single-Family (1-4) portfolios of 10+ properties and all Multifamily (MF) properties. Reference the Guideline Matrix for DSCR requirements.

2.10.1.4 Considerations

- Gross rental income is determined as the lesser of:
  - In-place rent
  - Appraised market rent
  - Appraised market rent with a 10% "haircut" can be used for any vacant units, provided the in-place leasing meets the minimum occupancy requirement. The 10% haircut can be waived for a vacant single property Single-Family (1-4) purchase loan.
- Property Management fees are not a part of the PITIA or ITIA calculations. However, the PM fees will be reviewed by Underwriting. If PM fees drop the DSCR below a 1.0x DSCR, an exception is required.
- See Guideline Matrix for additional details.

2.10.2 Minimum DSCR

The minimum DSCR requirement varies depending on several factors including number of properties, Property Type, and Market Tier. Reference the Guideline Matrix for details.

Interest-only loans: for pricing purposes, use actual debt service (ITIA DSCR). However, I/O loans must meet a 1.0x DSCR using theoretical debt service calculated using the note rate and a 360-month amortization (PITIA DSCR).

2.11 Prepayment Penalties (PPP)

Prepayment penalties are a fee the borrower incurs if they pay off their loan within certain timeframes. Diya incurs significant cost to market, negotiate, underwrite, close and service loans. The PPP ensures the Lender will earn sufficient funds from the loan to justify the initial cost, either by incentivizing the Borrower to hold the loan longer, or by compensating the Lender with a prepayment fee for an early paydown or payoff.

PPPs are negotiated as part of the initial loan pricing. The Lender charges higher interest for a shorter prepay. Some examples of prepay options include:

- No prepay
- 1 Year: 300% (3% in Year 1, no prepay thereafter)
- 2 Years: 320% Stepdown (3% in Year 1, 2% in Year 2, no prepay thereafter)
- 3 Years: 321% Stepdown (3% in Year 1, 2% in Year 2, 1% in Year 3, no prepay thereafter)
- 3 Years / 6 Months (if the loan is paid off within 3 years, 6 months of interest are due)
- 5 Years: 54321% Stepdown

Reference the latest Rate Sheet for details on what is available.

2.12 Partial Releases

For Portfolio Loans, partial releases allow the Borrower to pay down part of the loan so the Lender will release part of the collateral. The required paydown for each property is 120% of that property's Par value. Par is the portion of the loan principal allocated to each property. Par is calculated prior to closing based on the total loan amount and the appraised as-is value of each property.

For example: a $1,000,000 loan secured by 5 properties that are each worth $400,000:

5 x $400,000 = $2,000,000 total portfolio value.

The par value for one of the properties is:

$400,000 / $2,000,000 = 0.2 x $1,000,000 = $200,000

If collateral will be released for 120% of par, the release price for this unit is:

$200,000 x 120% = $240,000.

2.13 Subordinate Financing

Diya must be in first trust deed position. Subordinate financing is not permitted.

2.14 Assuming the Loan

Diya loans are not assumable.

3 Property Requirements

3.1 Property Types

- Single-Family Residential (1-4 Units per Property)
- Multifamily Residential (5-8 Units per Property). Guarantor must have experience owning properties of similar size and location.
- Stabilized, non-owner-occupied rental properties only
- Single properties
- Portfolios (all properties must be in the same county unless the Title company can cover cross-county properties.)
- Restrictions include (see Diya Guideline Matrix for details):
    - Maximum property value
    - Minimum property value
    - Minimum occupancy requirements

3.2 Eligible Property Types

- Appraised as C1-C4 condition
- Single-family detached
- 2-4 unit attached
- 5-30 unit attached
- Warrantable condominiums
- Non-warrantable condominiums that meet the requirements of Exhibit E
- Townhomes
- Planned unit development (PUD)
- Section 8 housing, subject to the following restrictions:
    - Borrower/Guarantor must have a minimum of 3 owned & stabilized Section 8 rental properties under management with 12+ months of history.
    - Section 8 assets under management must be similar size to the subject property and in the same submarket.
    - All Section 8 units are for long-term rental residential households only.
    - Not allowed for senior housing or rehabilitation homes.

3.3 Ineligible Property Types

- Lots of 3-acres or more
- Mixed-use
- Operating Farms, Ranches, or Orchards
- Rural locations. A property indicated by the appraisal as rural, or containing any of the following characteristics, is typically considered a rural property:
    - Subject property and/or comparable have lot sizes greater than 10 acres
    - Neighborhood is less than 25% built-up
    - Area around the subject is zoned agricultural
    - Photographs of the subject show a dirt road
    - Comparable are more than five miles away from the subject
    - Subject located in a community with a population of less than 25,000
    - Distance to schools and/or amenities is greater than 25 miles
    - Subject property and/or comparable have outbuilding or large storage sheds
- Co-ops
- Manufactured or modular homes

- Log homes (unless typical for the area w/ at least 3 log home comps)
- Leasehold properties
- Deed-restricted properties (e.g. factors that impair Sellers rights)
- Earth Homes, Berm Homes, and Dome Homes
- Houseboats
- Builder Leasebacks
- Timeshares
- Properties Representing an illegal use under zoning regulations
- Structures or Projects with Non-Conforming Use of Land where zoning prohibits in the event of total or partial destruction
- Properties Subject to Hazardous, Materials, Noxious odors, or safety violations
- Properties Subject to Oil and/or Gas Leases
- Properties Used Primarily for Agriculture, Framing, or Commercial Use
- Properties Located in Native American Indian Reservations

3.4 Minimum Property Requirements

All properties must meet the following requirements:

- Be improved real property.
- Be accessible and available for year-round residential use.
- Contain a full kitchen and a bathroom
- Represent the highest and best use of the property
- Not contain any health or safety issues.
- Contain a minimum square footage for gross living area by the following property types:
    - Single Family: 700 sqft
    - Condominium: 500 sqft
    - 2-4 Units Multi-family: 400 sqft per individual unit
- Section 8 has special requirements. See section 3.2 for details.
- Be heated by a continuously fueled heat source which is permanently affixed to the real estate. Alternative heat sources are acceptable when marketability has been demonstrated. No heating system at all is acceptable in certain geographic areas where no heat is common for the area. (Example: South Florida and Hawaii) At least two (2) comparable sales without heat sources must be utilized within the appraisal.
- Property must be in C4/Q4 condition or better.
- Represent the “highest and best” use of the subject
- Be free of all health and safety violations
- Not be in violation of any housing codes or exhibit items that adversely affect the ownership, habitability, or marketability of the subject property
- Any fixture that includes a UCC filing associated with the property and/or will create an easement on title is ineligible.

3.5 Location - Eligible States and Licensing Information

Diya and RE Investment Loans (REIL) do NOT lend in Idaho, Nevada, Utah, North Dakota, South Dakota, Vermont, or US territories

California:

- If Third-Party Originator (TPO) has an active DRE License in good standing, the REIL entity can fund loans.

- When closing loans in CA, the DRE holder (the TPO) must be on the settlement statement with clear disclosure to the borrower as to who is receiving the origination fee.
- Diya holds a CFL in CA. If the TPO has a CFL but does not have a DRE, then we must close the loan as Diya. It is acceptable for a CFL holder to broker a loan to another CFL holder.
- If the TPO does not hold a DRE or a CFL, then we cannot fund loans in CA for you regardless of whether we close as Diya or REIL.

Arizona:
- If the TPO has an active Arizona Mortgage Broker License in good standing, the REIL entity can fund loans.
- When closing loans in AZ, the Arizona Mortgage Broker License holder (the TPO) must be on the settlement statement with clear disclosure to the borrower as to who is receiving the origination fee. Even when closing as Diya, which has an AZ license, the TPO's fees need to be disclosed on the settlement statement.
- If the TPO is not licensed in AZ, then we cannot fund loans in AZ for you regardless of whether we close as Diya or REIL.

Oregon:
- If the TPO has an active Oregon Mortgage Lending License in good standing, the REIL entity can fund loans.
- If the TPO is not licensed in OR, then we can fund loans as Diya, but NOT REIL.
- When closing loans in OR, the TPO must be on the settlement statement with clear disclosure to the borrower as to who is receiving the origination fee. Even when closing as Diya, which has an OR license, the TPO's fees need to be disclosed on the settlement statement.

Minnesota:
- Diya is licensed in MN, and all loans must be closed in Diya's name. The REIL entity cannot be used for loan closings in MN.
- All broker fees must be clearly disclosed on the settlement statement.
- If the TPO is not licensed in MN, then we cannot fund loans in MN for you.

All other US States:
- Can close as Diya or REIL, and fees can be white-labelled under REIL.

3.6 Leases

The properties must be either (i) leased to and occupied by an eligible tenant pursuant to an eligible 12-month lease that is in full force and effect and is not in default in any material respect or (ii) in lease ready condition, meaning that the properties have been cleaned, no renovations or repairs to the properties are needed and the properties are immediately available to be leased to an eligible tenant.

Month-to-month leases are only acceptable if the tenant has been in place for 12+ months.

Diya does not lend on properties with corporate leases.

Units that are vacant or ineligible (month-to-month, etc.) will be underwritten based on the appraised 1007 market rent with a 10% haircut.

Leases to family members of anyone holding direct or indirect ownership interest in the borrowing entity are considered non-arms-length. Properties with non-arms-length leases are considered consumer properties and are not eligible for Diya loans.

STVRs:

- Rent from short-term vacation rentals (STVRs) CANNOT be used as income.
- Underwritten rent will be calculated using the appraised long-term market rent (no haircut).
- The Borrower must show the last 12 months of STVR income exceed the appraised long-term 1007 market rent.

3.7 Occupancy Requirements

Single property purchase loan: no occupancy requirement

Portfolio loans of 1-9 units must have 80% physical occupancy.

Portfolio loans of 10+ units must have 90% physical occupancy.

3.8 Insurance Requirements

Borrowers are required to show proof of insurance:

- Fire/hazard policy coverage of not less than the lower of a) the full replacement cost of the improvements of the Subject Property; or, b) the amount of the Loan principal, but never less than 80% of the replacement cost of the improvements of the Subject Property.
- Further, the policy must include at least 6 months of rent loss insurance.
- Liability Insurance policy coverage of not less than One Million Dollars ($1,000,000) aggregate.
- Lender must be included as the Loss Payee on the policy:
    - Diya: "Diya Finance LLC, a Delaware limited liability company, ISAOA ATIMA 9250 E. Costilla Ave, Ste 425, Greenwood Village, CO 80112"
    - REIL: "RE Investment Loans LLC, a Delaware limited liability company, ISAOA ATIMA 9250 E. Costilla Ave, Ste 425, Greenwood Village, CO 80112"
- The insurance policy must conform to Fannie Mae's requirements for hazard insurance and to all of the following requirements:
    - Deductibles may not exceed five percent (5%) of the face amount of the insurance policy.
    - The policy must contain the Borrower's name, the agent's name the agent's company name and the full address of the subject property and be in effect at closing.
    - For purchases, the premium for one year of coverage, effective from date the Borrowers acquire the Subject Property, must be paid in full and for refinances, the policy must be effective for at least 60 days after the Date of the Loan.
    - The hazard insurance policy must be underwritten by a carrier that meets the following requirements:
        - Carriers rated by A.M. Best Company, Inc. must be rated "B" or better.
        - Carriers rated by Demotech, Inc. must have an "A" or better rating in Demotech's Hazard Insurance Financial Stability Ratings.
        - Carriers rated by Standard and Poor's must have a "BBB" or better Insurer Financial Strength Rating in the Standard and Poor's Ratings Direct Insurance Service
        - Carriers not rated by any of A.M Best Company, Inc, Demotech, Inc. or Standard and Poor's are ineligible and policies from such carriers may not be used to meet the hazard policy requirements of these Underwriting Guidelines.

Property insurance must be escrowed. See "Escrow Holdbacks" section for details.

3.9 Property Tax

Property taxes must be paid current prior to or as part of loan closing.

Property taxes must be escrowed. See "Escrow Holdbacks" section for details.

3.10 Title Insurance

3.10.1 Title Insurance Policy Requirements

Title insurance is required for all loans. Consult legal counsel regarding the specific endorsements required. The title insurer and policy must conform to Fannie Mae requirements.

- The title insurer must be qualified to do business in the state where the subject property is located.
- The premium for the title insurance must have been paid in full on the date of the loan or on the loan's funding date.
- The title insurance must be in force and non-cancelable.
- Terms of Coverage: The title insurance policy must ensure the title is acceptable and that the mortgage represents a first lien on a fee simple estate in the property. The title policy must also list all other liens and reflect they are subordinate. The policy must be written on one of the following forms:
    - The 2006 American Land Title Association (ALTA) standard form.
    - The ALTA short form if it provides coverage equivalent to the 2006 ALTA standard form.
    - The ALTA form with amendments required by state law in states in where the 2006 ALTA forms have not yet been adopted, provided such ALTA form with amendments is acceptable to Fannie Mae.
    - For Adjustable Rate Mortgage, the policy must include ALTA Endorsement 6-06.
- Effective Date of Coverage: The effective date of the title insurance coverage written on forms that do not provide the gap coverage included in the 2006 ALTA policies may be no earlier than the later of the date of the final disbursement of loan proceeds or the date the mortgage was recorded. Because the 2006 ALTA forms provide protection for the time between loan closing and recordation of the mortgage, policies written on those forms may be effective as of loan closing.
- Amount of Coverage: The amount of title insurance coverage must at least equal the original principal amount of the mortgage.
- Chain of Title: The title report must include a 24-month chain of title which was prepared not earlier than 90 days prior to the Date of the Loan, and which includes the transfer date, names of buyers and names of sellers for any conveyances within the past 24 months.
- The Borrowers' names must be indicated on the title commitment and must be identical as the Borrowers' names on the note and mortgage without any variances for spelling, use of a middle name or use of a personal title.
- If Borrower's marital status appears to be different than on 1003, the discrepancy must be addressed.
- The title insurer must provide a closing protection letter covering the closing settlement agent's errors, omissions, fraud, theft, and embezzlement (except that in New York State a closing protection letter is not required).

If the title being insured is for a condominium unit, the following additional title policy requirements are applicable:

- An ALTA 4-06 or 4.1-06 endorsement or equivalent is required to be attached and incorporated into the text of the policy.

- If the homeowner's association owns the common areas or facilities of the project separately, the title insurance must insure such ownership.
- The title policy must provide for the following:
    - The mortgage must be superior to any lien for unpaid common expense assessments.
    - Insurance covers any impairment or loss of title by any past, present, or future violations of any covenants, conditions, or restrictions of the master deed for the project.
    - The unit does not encroach on another unit or any of the common areas/facilities.
    - The mortgage is secured by a unit in the condo project that has been created in compliance with applicable statutes.
    - The real estate taxes are assessable only against the condo unit and its undivided interest in the common elements rather than the project as a whole.

If surveys are not commonly required in particular jurisdictions, the Seller must provide on ALTA 9 Endorsement. If it is not customary in a particular area to supply either the survey or an endorsement, the title policy must not have a survey exception.

3.10.2 Title Policy Exceptions

The following title exceptions are permissible, provided they are also permissible in accordance with Fannie Mae's title insurance requirements:

- Customary public utility subsurface easements, the location of which are fixed and can be verified.
- Above-surface public utility easements that extend along one or more property lines for distribution purposes or along the rear property line for drainage, provided they do not extend more than 12 feet from the subject property lines and do not interfere with any of the buildings or improvements, or with the use of the subject property, and further provided their violation will not result in the forfeiture or reversion of title or a lien of any kind for damages, or have an adverse effect on the fair market value of the subject property.
- Mutual easement agreements that establish joint driveways or party walls constructed on the subject property and on an adjoining property, provided all future owners have unlimited and unrestricted use of them.
- Encroachments on one foot or less on adjoining property by eaves or other overhanging projections or by driveways provided there is at least a ten (10) foot clearance between the buildings on the subject property and the property line affected by the encroachments.
- Encroachments on the subject property by improvements on adjoining property provided these encroachments extend one foot or less over the property line of the subject property, have a total area of 50 square feet or less, do not touch any buildings, and do not interfere with the use of any improvements on the subject property or the use of the subject property not occupied by improvements.
- Encroachments on adjoining properties by hedges or removable fences.
- Liens for real estate or ad valor taxes and assessments not yet due and payable.
- Outstanding oil, water, or mineral rights as long as they do not materially alter the contour of the property or impair its value or usefulness for its intended purposes.

3.11 Flood Insurance

If the Subject Property located within any area designated by the Federal Emergency Management Agency (FEMA) as an Area of Special Flood Hazard, the Subject Property must be covered by flood insurance.

To determine whether the Subject Property is in a flood zone, Diya obtains a Flood Certificate on the lot of the Subject Property from a nationally recognized Flood Certificate provider. The Flood

Certificate can be waived if there is a flood zone map or appraisal that can show the subject property is not in a flood zone.

If flood insurance is required, the amount of required insurance is the lessor of (i) full replacement cost coverage for the improvements on the Subject Property, or (ii) the maximum coverage available under the National Flood Insurance Administration program. The flood insurance must conform to the flood insurance requirements of Fannie Mae, and must also conform to all the following requirements:

- Deductibles permitted up to the maximum deductible available under the National Flood Insurance Program (NFIP).
- The Borrower name and the Subject Property address must be on the flood insurance application and binder.
- The flood insurance policy must contain a mortgagee clause, naming lender and its assignees as the loss payee.
- Evidence of coverage must be provided at closing.

The requirement for flood insurance requirement may be waived if:

- The subject property improvements are not in the area of Special Flood Hazard, even though part of the land is in Flood Zone A or V; or
- The Borrowers obtain a letter from FEMA stating that its maps have been amended so that the subject property is no longer in an area of Special Flood Hazard.

Flood insurance must be escrowed. See “Escrow Holdbacks” section for details.

3.12 Escrow Holdbacks

It is Diya’s policy to hold back funds at loan closing to cover fees used to protect the collateral. The servicer will also collect 1/12 of the projected annual cost of these fees with each monthly loan payment. Escrowed fees include:

- Property taxes must be paid current prior to or as part of loan closing. Diya escrows future tax payments, calculated from the first loan payment date to the date taxes are next due, plus a 2-month buffer.
- Property Insurance: the current 12-month insurance policy must be paid in full prior to loan closing or through loan closing. Diya escrows future insurance payments, calculated from the first loan payment date to the current policy’s expiration date, plus a 2-month buffer.
- Flood Insurance (if property is in a flood zone): the current 12-month insurance policy must be paid in full prior to loan closing or through loan closing. Diya escrows future insurance payments, calculated from the first loan payment date to the current policy’s expiration date, plus a 2-month buffer.

3.13 Property Management

Properties and tenants are either managed by the Borrower/Guarantor (self-managed), a Borrower affiliate, or a dedicated property management company. Prior to loan closing, Diya must approve the experience of the person or company managing its collateral. Diya does not include property management fees in its PITIA or ITIA DSCR calculations. However, if adding the property management fees would drop the DSCR below 1.0x, an exception is required.

3.13.1 Borrower Self-Management

Single-property loans: Borrower property management experience is not required.

Portfolio loans: Borrower must have previous property management experience.

3.13.2 Property Manager

If using a dedicated property manager, the Borrower must enter into a property management agreement. Such management agreement must include terms and provisions (i) customary for property management agreements used in connection with financing and securitizations of single-family rental homes and (ii) acceptable to Lender.

Lender shall have the right to terminate a Management Agreement and require Borrower to replace the Manager and enter into a Replacement Management Agreement with a Qualified Manager selected by Lender if an event of default or gross negligence occurs.

3.13.3 Experience Requirements

If the guarantor does not have sufficient experience or does not live within a reasonable distance to the loan's collateral, Diya requires them to hire a property manager that meets these requirements. While "sufficient experience" is a subjective metric, below are some rules of thumb to assess acceptable property management experience.

Distance – The manager should live within approximately a two-hour drive from the collateral, or have assistance from someone who lives within a two-hour drive.

Experience Type – The manager should have experience managing properties similar to the subject property. For example, a manager who has only managed detached single-family residences might not qualify to manage a 10-unit apartment building.

Experience Duration – The manager should have at least two years' experience managing similar properties.

Experience Volume – The manager should have experience managing at least three properties, preferably more. They should also have experience managing a similar number of properties to the subject collateral. For example, if they currently manage three properties, they might not be qualified to manage a 10-property portfolio. However, if they currently manage three properties, they would be qualified to manage an additional three properties.

If the experience is borderline, the Underwriting Manager should be consulted to make the final decision.

3.14 Deleted

3.15 Ground Lease

Collateral subject to a ground lease will only be considered on a case-by-case basis.

3.16 Occupancy Requirements

See Guideline Matrix for Occupancy Requirements and Vacant Units Allowed.

4 Borrower Requirements

4.1 Entity Structure

The title-holding Borrower may be any of the following:

- Limited Liability Company

- Series Limited Liability Company
- Corporation

Borrowers must provide:

- Limited Liability Companies
  - Recorded articles of organization
  - Executed operating agreement listing:
    - Members w/ ownership percentages
    - Manager/s
    - Who is authorized to purchase property and obtain debt on behalf of the entity?
  - SS-4 or filed tax return showing entity's EIN
  - Certificate of good standing dated within three months of closing, or the Underwriter can confirm the entity's active status by saving a screenshot of its status on the Secretary of State website.
  - Foreign entity certification (if entity was formed in a different state from where the collateral is located)
- Corporations
  - Recorded articles of incorporation
  - Executed bylaws
  - Shareholder register
  - SS-4 or filed tax return showing entity's EIN
  - Certificate of good standing dated within three months of closing, or the Underwriter can confirm the entity's active status by saving a screenshot of its status on the Secretary of State website.
  - Foreign entity certification (if entity was formed in a different state from where the collateral is located)

4.2 Special Purpose Entity (SPE)

A Special Purpose Entity (SPE) is required for all portfolio loans of 10+ properties. An SPE is a borrowing entity that is organized solely for the purpose of acquiring, renovating, rehabilitating, owning, holding, selling, leasing, transferring, managing and operating the subject Properties; that has not owned, does not own, and will not own any asset or property other than the Properties and incidental personal property necessary for the ownership or operation of the Properties.

5 Guaranty / Guarantor Requirements

5.1 Personal Guaranty Requirements

Every loan must include a full "warm body" guaranty. Limited recourse or entity guaranties are not acceptable. At least one individual with at least 20% direct or indirect ownership in the entity, who is involved in the properties' day-to-day management and meets the requirements discussed below, must guarantee. Only guarantors' experience, credit, liquidity, etc. will be considered in underwriting.

5.2 Background / Experience Requirements

Guarantors must provide a bio, resume, and/or real estate schedule showing their experience in real estate investing. Guarantors' experience should be similar to the project for which they are

requesting loan funds. First-time real estate investors may be acceptable if they have strong credit history.

5.3 Background Check

An electronic fraud detection report will be used for each Guarantor to check for history of any incidents of financial fraud or dishonesty. In addition, the report(s) will validate the Guarantor(s) identity and Social Security Number. Report must be dated within 180 days of the Note.

Background check(s) will be performed on each Guarantor. The check(s) will include criminal history, OFAC, litigation, UCC filings, litigation, judgement, and lien searches. Individuals are not allowed to act as Guarantor if any of the following are true:

- They filed bankruptcy in last 4 years
- They had a foreclosure in last 4 years
- They were ever convicted of a violent offense or fraud. Lesser offenses such as traffic violations are acceptable.
- Individual is on the OFAC list of Specially Designated Nationals and Blocked Persons (SDN list).
- Individual has past felony convictions or any conviction involving financial fraud.
- Individual has outstanding material (>$3,000) tax liens, other liens, or judgements.
    - Tax liens may be paid off prior to closing or through escrow/title to satisfy this requirement

5.4 Credit Check

Minimum FICO is 660. However, a score between 660-680 requires preapproval.

Credit Report – A full residential mortgage credit report (RMCR) or Tri-Merged in-file must be used for at least one guarantor who owns 20%-or-more of borrowing entity. In the case of multiple Guarantors, the higher of the representative scores will be used as the qualifying FICO. The RMCR or tri-merged in-file must reflect credit scores from at least 2 of the major bureaus (Equifax, Experian, TransUnion). The middle of 3 or lesser of 2 scores must be used to determine the Guarantor's credit score. Report must be dated within 90 days of the Note date. A 120-day old report is allowed for repeat borrowers with no late mortgage payments in the last 12 months.

Trade Lines – A minimum of 2 trade lines open for at least 24 months is required. At least one line must show activity within the past 12 months. All guarantors must meet the minimum trade line requirement.

Guarantor must have zero 30-day late payments in the last 12 months.

All open judgements, garnishments, and all outstanding tax liens must be paid off prior to loan closing or borrower must provide evidence of being current on payment plan over at least past 6 months. For open judgements and collections that are seasoned more than 10 years or are equal or less than $5,000, the payoff can be waived. All guarantors must meet the judgements or liens requirement.

5.5 Liquidity

Reference Guideline Matrix for minimum liquid reserve requirements.

Liquidity can be verified using the most recent two (2) consecutive months of bank or investment account statements covering a minimum 60 consecutive days. The latest statement must be dated

within 45 days of the note date. A transaction history may accompany the statements to account for the interim period between the statement end date and the note date.

If unusual large deposits are used to qualify, these deposits must be explained, and the source must be documented.

All loans to the same Borrower and/or Guarantors that close within 90 days of each other will be included in the Liquid Reserves Requirement.

Downpayment gifts are not allowed.

Consideration of liquid assets:

Asset	**Weight**
Checking/Saving/Money Market Accounts	100%
Publicly traded stocks, bonds, mutual funds, and annuities (surrender value)	70%
Individual Retirement Accounts (IRAs), 401k plans[1], SEP, or Keogh accounts	50%, 100% if over age 63
Revocable Trust Assets[2]	100%
Business funds[3]	Business ownership %
Non-vested or restricted stock	0%
Foreign Currency	0%
HELOC	0%

[1]Net of any money borrowings against the plan.

[2]Must document rights to access. Trustee must be guarantor.

[3]Guarantors must have ownership interest of entity. The Guarantor's ownership percentage in that entity determines the weight given to those liquid assets.

5.6 Net Worth

Signed Personal Financial Statements are required from each of the Guarantors in a form acceptable to Lender for MF loans and SFR portfolios of 6-or-more properties. For a loan backed by more than 10 properties, Guarantors must demonstrate net worth equal to or greater than 25% of the total loan amount.

5.7 Guarantor Citizenship/Visa Status

At least one guarantor with at least 20% direct or indirect ownership in the borrowing entity must be a US Citizen or Permanent Resident Alien with a valid social security number. A Permanent Resident Alien is required to provide proof of residency status in any of the following forms:

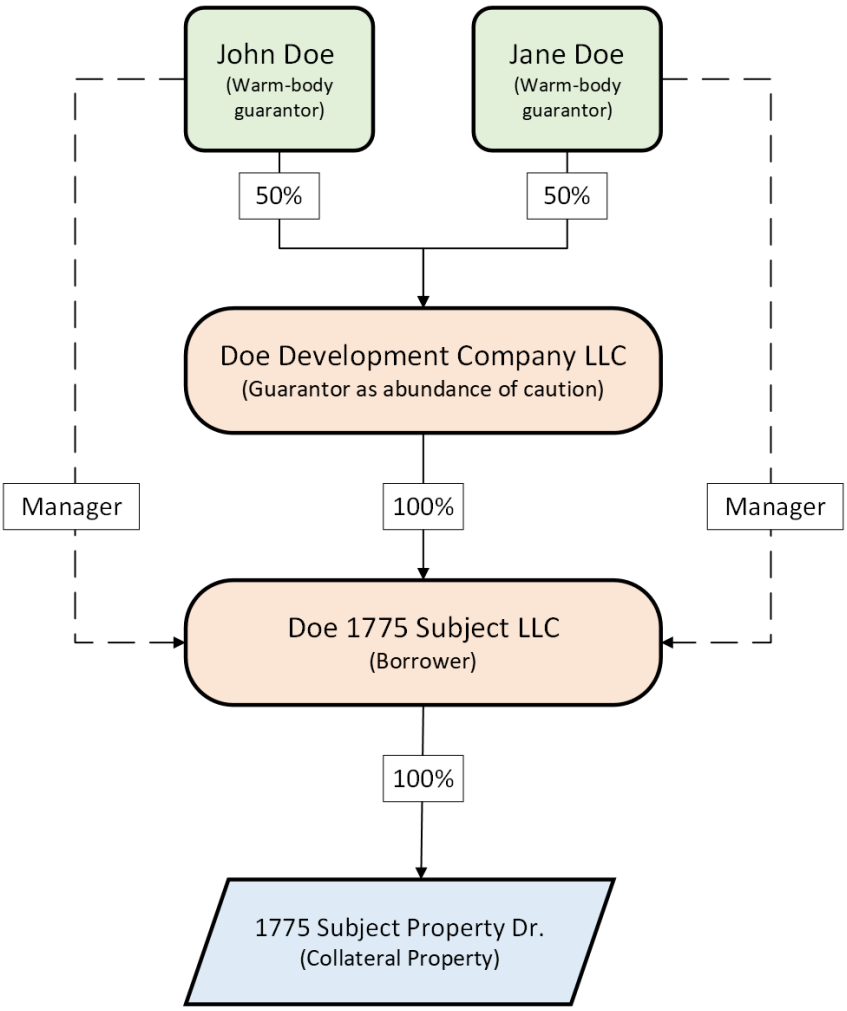
- A Permanent or Conditional Resident Card or Green Card
- A valid passport with a stamp saying that it's been approved as temporary evidence for I-551
- A valid I-94A form indicating grant of refuge/asylum or a foreign passport indicating permanent residence admission with an employment authorization document
- Any evidence you might have of permanent residency courtesy of the United States Citizenship and Immigration Services
- Guarantors' signed citizenship affidavit or completed loan application to disclose citizenship

Guaranties will not be accepted from citizens of the following countries: Cuba, Iran, North Korea, Sudan, Syria, Ukraine (including Crimea, the Donetsk People's Republic, and the Luhansk People's Republic), Russia, Venezuela, Myanmar, Belarus, or with any Specially Designated Nationals as listed by the US Treasury Department's Office of Foreign Assets Control (OFAC).

5.8 Entity Chains

In situations where the warm-body guarantor owns the borrowing entity indirectly through one-or-more entities, each entity in the "chain" must also guarantee the loan as an abundance of caution for legal reasons. For example, in the ownership structure shown below:

- Borrowing Entity: Doe 1775 Subject LLC
- Warm-body Guarantors: John Doe and Jane Doe
- Additional Guarantor as Abundance of Caution: Doe Development Company LLC



Non-warm-body entities that guarantee as an abundance of caution, (whose financials are not needed to qualify for the loan), do not have to provide financials. They must provide full entity documents to show legal standing and verify who is authorized to sign on behalf of the entity, and warm-body owners of the entity must sign and notarize the entity's Entity Certificate with the loan documents (see Loan Documentation section for details).

5.9 Non-Arm's Length Transactions

Buyers must disclose relationships with sellers or other transaction parties in any manner. This includes the following:

- Family sales or transfers
- Trading properties with or simultaneously selling a separate property to the seller
- Landlord selling to renter
- Employer selling to employee

- Personal or family relationships with loan broker, real estate agent, closing attorney, appraiser, transaction, or any other party involved in the transaction

For purchase transactions, the Borrower may not be an owner or have any interest in a business entity that is selling the property to be purchased.

Generally, all non-arms lengths transactions will be deemed ineligible, however, under certain circumstances, the following arms-length transactions will be considered:

- Family sales or transfers
- Borrower is an employee but meets all underwriting guidelines
- Sellers or buyers representing themselves

5.10 Loan Document Signing

Loan documents must be wet-signed by the Signers and notarized by a US notary. All direct and indirect owners of the borrowing entity must sign and notarize an Entity Certificate as part of the loan document package.

Diya may be able to accommodate signing for Signers who are in a foreign country on an exception basis. The Signer can either make a notary appointment at a US Embassy, sign and notarize a POA prior to leaving the US, or sign and notarize a POA signed by Remote Mobile Notary (RON) if the property's state allows it. <u>This takes extra time and should be brought to Diya's attention as early as possible.</u>

Process for signers who are out of the country during loan document signing:

1) Signer (Principal) must sign a Power of Attorney (POA), giving their Agent authority to sign the loan documents on their behalf.
2) Diya must review and approve the POA, Agent, notary, and Title company.
3) The POA Agent must be in the US on signing day and use a US notary to sign the documents.
4) The POA can be a General POA or Limited POA.
    a. If the POA is specific to the subject transaction, the Specific Powers should discuss the subject loan details.
5) The POA must be notarized by a US notary.
    a. The POA can be signed by a US notary before the Signer leaves the US.
    b. The POA can be signed using a Remote Online Notary (RON) if the Property is in a state that allows it.
6) Guarantors must wet-sign and ship the Guaranty to Diya. The Guaranty is not notarized.
7) Signer must Docu-Sign the Entity Certificate.

6 Property Valuations

6.1 Appraiser Selection Criteria

6.1.1 Appraisal Management Companies (AMCs) Approval

Deleted

6.1.2 Individual Appraiser Approval

Deleted

For TPO loans, the TPO can request to use a Direct Appraiser from Diya's Internal Panel, a random AMC, or a specific AMC on Diya's approved list. TPOs cannot request a specific appraiser.

For direct appraisal requests, Diya's Appraisal Desk will review Diya's Internal Panel.

- If there are 5 or more approved appraisers in the property's market, the Appraisal Desk will randomly select an approved appraiser.
- If there are 4 or fewer approved appraisers in the property's market, the Appraisal Desk will order the appraisal through an AMC.
- The Appraisal Desk will review all AMC reports and consider quality appraisers for addition to the Internal Panel.

6.2 Appraisal Requirements

6.2.1 General Appraisal Requirements

Appraisals are subject to these requirements:

- SFR, loan amount ≤ $2,000,000:
    - One full independent appraisal is required
    - Third-party appraisal review is required. Review variance:
        - Variance <= 10% is acceptable
        - 10% < variance <= 15% requires a BPO or Field View
        - Variance > 15% requires second full independent appraisal, the lower of the two values will be used for underwriting.
- Any property with an allocated loan amount > $2,000,000:
    - Two full independent appraisals are required, the lower of the two values will be used for underwriting.
    - No third-party review required.
    - The same AMC can be used for each appraisal as long as the appraiser is different.
- Appraisers must meet industry standards and be State Certified. Trainees are not permitted. All real estate appraisals must be performed according to the USPAP, and all appraisals must be Financial Institutions Reform, Recovery, and Enforcement Act (FIRREA) compliant.
- For 5+ unit multifamily properties, a full narrative commercial appraisal is required, and the appraiser must be a Member, Appraisal Institute (MAI) certified appraiser. All commercial appraisals must be in compliance with USPAP and FIERRA, and have a general opinion on tax reassessment risk, zoning restrictions and visual environmental concerns. Third-party review is not required.
- Appraisal assignments must be obtained in a manner that maintains appraiser independence and does not unduly influence the appraiser to meet a predetermined value.
- The licensed appraiser is required to perform an interior inspection when completing the appraisal report.
- Properties for which the appraisal indicates condition ratings of C5 or C6, or a quality rating of Q6, as determined under the Uniform Appraisal Dataset (UAD) guidelines, are not eligible.

6.2.2 Appraisal Forms

A Full Interior/Exterior appraisal report, including color photographs, requires use of one of the following forms depending on the property type:

- Uniform Residential Appraisal Report - Fannie Mae/Freddie Mac Forms 1004/70 with 1007 comparable rent schedule
- Small Residential Income Property Report (2-4 Unit) - Fannie Mae/Freddie Mac Forms 1025/72 with a 216 comparable rent schedule
- Individual Condominium Unit Appraisal Report - Fannie Mae/Freddie Mac Forms 1073/465 with 1007 comparable rent schedule
- Appraisal Update and/or Completion Report - Fannie Mae/Freddie Mac Forms 1004D/442

- Two or more Sale comps and two or more Rental comps must be located in the same city and < 3 miles distance from the subject

6.2.3 Appraisal Age

Appraisals should be dated no more than 120 days prior to the Note date. A recertification of value is acceptable 121-days through 180-days. After 180-days, the appraisal is expired, and a new appraisal will be required.

6.2.4 Property Condition

If the appraiser reports the existence of minor conditions or deferred maintenance items that do not affect the safety, soundness, or structural integrity of the property, the appraiser may complete the appraisal "as is." These items must be reflected in the appraiser's opinion of value.

When there are incomplete items or conditions that do affect the safety, soundness, or structural integrity of the property, the property must be appraised subject to completion of the specific alterations or repairs. These items can include a partially completed addition or renovation, or physical deficiencies that could affect the safety, soundness, or structural integrity of the improvements, including but not limited to, cracks or settlement in the foundation, water seepage, active roof leaks, curled or cupped roof shingles, or inadequate electrical service or plumbing fixtures. In such cases, the Borrower must obtain a certificate of completion from the appraiser prior to loan closing.

6.3 Appraisal Review

An appraisal review product is required to support the appraised value for the transaction unless a second appraisal is obtained. Acceptable review products include the following three options.

- ARR from Stewart
- CDA from Clear Capital
- ARA from Computershare

If the enhanced desk review product (ARR, CDA, or ARA) reflects a value more than 10% below the appraised value or cannot provide validation, the next option would be either a field review or a second appraisal. These must be from a different appraisal company and appraiser than the original appraisal.

An appraisal review report is not required for multi-family (5+ unit) properties that use a commercial appraisal.

6.4 Appraiser Monitoring and Exclusionary List

Deleted

7 Loan Documentation

7.1 Assignment of Property Management Agreement

For loans to borrowers using a dedicated property manager, the borrower must provide the executed property management agreement for review during underwriting.

For larger properties and/or portfolios; the borrower, property manager, and Diya Finance will execute an assignment of the property management agreement prior to loan closing. Exceptions to this timing must be approved by the Underwriting Manager.

Assignment of property management agreement is required for all MF properties (5-or-more-unit properties), or all SFR portfolio loans with 11-or-more units. Below are examples of collateral that requires an assignment:

- One 5-unit apartment building (MF)
- Eleven SFRs
- Three 4-plexes (SFR), totaling 12 units
- Two 4-plexes totaling 8 units does NOT require an assignment since the collateral properties are SFRs (1-4) totaling less than 11 units.

7.2 Entity Certificate

Loan documents will include an Entity Certificate/s that all Members/Shareholders of each Borrower and Guarantor will execute and notarize, attesting that:

- The entity is legally formed and in good standing.
- The attached entity documents are a complete and correct copy.
- All Members/Shareholders consent to taking on the subject loan.
- The Signer/s has authorization to bind the entity to the subject loan.

An entity certificate is required for the borrowing entity and any non-warm-body guarantors (LLCs, Corporations, Trusts, etc.).

Exceptions to signature requirements may be made on a case-by-case basis for Members/ Shareholders with less than 10% ownership in the entity.

7.3 ACH Payments

Required.

7.4 Reporting

For all SFR portfolios >10 properties and all MF loans, the following are required:

- Annual Financial Statements of Borrowing Entity (certified true and correct by CFO/Officer of Borrowing Entity)
- Annual Rent Rolls & Property Operating Statements

8 Credit Committee

Deleted

9 Exception Management

From time to time, a loan may be reviewed that does not meet published underwriting guidelines. Loans with exceptions must exhibit strong and documented compensating factors. Exceptions must be approved by Credit Committee prior to being sent for Investor approval, if needed. Only Credit Committee has authority to submit exceptions to Diya's investors.

Refer to Appendix B for Diya's standard Exception Request form for documenting and obtaining exception approval.

Appendix C – DSCR Calculation Detail

PITIA DSCR Calculation, <= 10 SFR Properties:

- Calculation: Monthly In-Place Gross Rental Income divided by Monthly PITIA

- Gross Rental Income: the lower of
  - Actual Monthly Rent in the Lease Agreement
  - Market Monthly Rent in the Appraisal
  - 10% Haircut of Market Monthly Rent for Unleased Properties
- PITIA: total monthly payments of
  - Monthly Mortgage Principal and Interest Payment
  - Monthly Property Tax Payment
  - Monthly Home Insurance Payment
  - Monthly HOA Payment and/or Property Management Fee
- Minimum PITIA DSCR of 1.0x;
  - All hybrid ARMs with IO periods must also qualify with a minimum PITIA DSCR of 1.0x, with debt service including the fully amortizing principal payment based on 360 months term.
- Leased Properties are defined as follows:
  - A lease with an initial term of 12 months, between unrelated parties
  - Month-to-month lease with a prior active lease
- Unleased Properties are defined as follows:
  - Vacant
  - Month-to-month lease without a prior active lease
  - 1007 market rent shall be utilized for DSCR calculations
- Short-term rentals (i.e. Airbnb) is NOT allowed to use for rent income.
- Minimum Occupancy Rate by Number of Total Units:
  - If unit count <=9: 80%
  - If unit count >=10: 90%
  - Minimum Occupancy Rate does not apply to purchase loan backed by a single property
  - See Guideline Matrix for Vacant Units Allowed on properties the Borrower recently renovated that are in the process of initial lease-up at <=105% LTC, subject to DCC review of Borrower's strength, track record and property management.

Net Cash Flow (NCF) DSCR Calculation, > 10 SFR Properties or any MF/MU Properties:

- Calculation: Monthly In-Place Net Cash Flow (NCF) divided by Monthly P&I, after accounting for all Property Operating Revenues, Expenses and Capital Expenditure Reserves
- Gross Rental Income: the lower of
  - Actual Monthly Rent in the Lease Agreement
  - Market Monthly Rent in the Appraisal
- Minimum NCF DSCR
  - Top or Standard Market: 1.20x
  - Small Market: 1.30x
  - Very Small Market: 1.40x
- Leased Properties are defined as follows:
  - A lease with an initial term of 12 months, between unrelated parties
  - Month-to-month lease with a prior active lease
- Unleased Properties are defined as follows:
  - Vacant
  - Month-to-month lease without a prior active lease
- Short-term rentals (i.e. Airbnb) is NOT allowed to use for rent income.
- Minimum Occupancy Rate by Number of Total Units:
  - if unit count <=9: 80%
  - if unit count >=10: 90%

Appendix D – Requirements for Non-warrantable Condominium Projects

Criteria	Requirements
Pre-Sale for Projects with 10+ Units	35% of the units in the project must have been sold or under contract prior to the one-year anniversary of the date in which the units in the project were first marketed. 55% of the units in the project must have been sold or under contract prior to the eighteenth month anniversary of the date in which the units in the project were first marketed. 70% of the units must have been sold or under contract if the project has been marketed for more than eighteen months. For the purpose, hereof the date first marketed shall mean the date the units in the subject phase were first offered for sale, but never later than the date of the first contract to sell a unit in the subject phase.
Cap on Exposure	The maximum number of units that Diya will finance in any condominium project is the greater of one unit or 15% of the total units sold in the project.
Pre-Sale for Projects with less than 10 Units	• Projects with 1 to 4 units are not eligible • Projects with 5 Units, 4 Units must be sold • Projects with 6 Units, 5 Units must be sold • Projects with 7 Units, 5 Units must be sold • Projects with 8 Units, 6 Units must be sold • Projects with 9 Units, 6 Units must be sold
Ownership Concentration	No single entity (individual, partnership, LLC or corporation) may own more than 15% of total units in the Subject Project (other than the original developer or Guarantor).
Investor Occupancy	No more than 50% of total units in the Subject Project may be renter occupied
Insurance	The homeowner association must generally maintain all required insurance coverage in accordance with Fannie Mae guidelines, provided that minor deviations from Fannie Mae's requirements are acceptable with an exception approval.
Required Subject Property Type	The unit being financed (the Subject Property) must be for one family, residential occupancy.
Ineligible Property Types	The Subject Project may not include any units with the following characteristics: • Condominium conversions that were not gut rehabilitations, if the conversion occurred less than 2 years prior to the date of the Loan closing • Mobile home units • Manufactured home units except that modular built homes with an appeal similar to stick built homes are acceptable • Time shares units • Cooperative units • Units that include the option to receive assisted living services • Multi-family units • Common interest or community apartment units (projects where all units are owners have right to lease individual units) • Houseboat units • Units offering daily, weekly or monthly rentals • Units offered through filings with the United States Securities and Exchange Commission • Units that are subject to fees on transfer that are payable to any person or entity other than the homeowner association • Units in condominium projects in which the Guarantor / developer owns and leases back to the homeowner association common areas or amenities • Units in condominium projects where any unit owner or the homeowner's association is a party to a revenue sharing agreement with the Guarantor or another third-party

	• Units in condominium projects that are managed as a hotel or motel • Units in condominium projects whose names include the words "hotel," "motel," "resort," or "lodge" • Resort type projects
Phase Construction Completion	Construction must be completed in the subject phase. Construction of all common areas and amenities designated for use by owners of units in the subject phase must be fully completed.
Ownership Interests	Units in the condominium project must be held fee simple
Commercial Percentage	For projects with 50 or more units no more than 50% of total square footage may be used for commercial purpose. For projects that contain less than 50 units, the commercial percentage must conform to Fannie Mae requirements.
Homeowner Association income from sources other than dues	Budgeted income other than Homeowner Association dues may not make up more than 35% of total Homeowner Association's budgeted income.
Homeowner Association Delinquency	No more than 15% of the units within the condominium project may be delinquent more than 60 days on amounts due the homeowner association. No Units owned by the Guarantor, developer or affiliates may not be delinquent on amounts due to the homeowner association.
Capital Reserve Requirements	The homeowner association's current annual budget must include an allowance for capital reserves of not less than 5% of the total expenditures included in such budget. Notwithstanding the foregoing, if the homeowner association has a capital reserve equal to or greater than 50% of the expenditures set forth in its current annual budget, than the required allowance for capital reserves is waived.
Litigation	The homeowner association cannot be named as a defendant in litigation unless its potential liability is fully covered by insurance (except that insurance coverage may be subject to a deductible of up to $50,000). The condominium association may not be a plaintiff in litigation that alleges that there are hazardous or unsafe conditions associated with the condominium project.

Appendix E – Change Log, from v25.3, 5/20/2025 to v25.4, 10/28/2025

2.1.4 Mixed-Use

Mixed-use properties are a mix of residential and commercial units. Mixed-use properties are NOT eligible for Diya loans.

3.2 Eligible Property Types

- ~~Mixed-use with >50% residential use by square footage and >60% residential income~~

3.3 Ineligible Property Types

- Mixed-use

3.5 Location - Eligible States and Licensing Information

Diya and RE Investment Loans (REIL) do NOT lend in Idaho, Nevada, Utah, North Dakota, South Dakota, Vermont, or US territories

California:
- If Third-Party Originator (TPO) has an active DRE License in good standing, the REIL entity can fund loans.
- When closing loans in CA, the DRE holder (the TPO) must be on the settlement statement with clear disclosure to the borrower as to who is receiving the origination fee.
- Diya holds a CFL in CA. If the TPO has a CFL but does not have a DRE, then we must close the loan as Diya. It is acceptable for a CFL holder to broker a loan to another CFL holder.
- If the TPO does not hold a DRE or a CFL, then we cannot fund loans in CA for you regardless of whether we close as Diya or REIL.

Arizona:
- If the TPO has an active Arizona Mortgage Broker License in good standing, the REIL entity can fund loans.
- When closing loans in AZ, the Arizona Mortgage Broker License holder (the TPO) must be on the settlement statement with clear disclosure to the borrower as to who is receiving the origination fee. Even when closing as Diya, which has an AZ license, the TPO's fees need to be disclosed on the settlement statement.
- If the TPO is not licensed in AZ, then we cannot fund loans in AZ for you regardless of whether we close as Diya or REIL.

Oregon:
- If the TPO has an active Oregon Mortgage Lending License in good standing, the REIL entity can fund loans.
- If the TPO is not licensed in OR, then we can fund loans as Diya, but NOT REIL.
- When closing loans in OR, the TPO must be on the settlement statement with clear disclosure to the borrower as to who is receiving the origination fee. Even when closing as Diya, which has an OR license, the TPO's fees need to be disclosed on the settlement statement.

Minnesota:

- Diya is licensed in MN, and all loans must be closed in Diya's name. The REIL entity cannot be used for loan closings in MN.
- All broker fees must be clearly disclosed on the settlement statement.
- If the TPO is not licensed in MN, then we cannot fund loans in MN for you.

All other US States:
- Can close as Diya or REIL, and fees can be white-labelled under REIL.

3.16 Occupancy Requirements

See Guideline Matrix for Occupancy Requirements and Vacant Units Allowed.

5.5 Liquidity

All loans to the same Borrower and/or Guarantors that close within 90 days of each other will be included in the Liquid Reserves Requirement.

6.1.2 Individual Appraiser Approval

For TPO loans, the TPO can request to use a Direct Appraiser from Diya's Internal Panel, a random AMC, or a specific AMC on Diya's approved list. TPOs cannot request a specific appraiser.

For direct appraisal requests, Diya's Appraisal Desk will review Diya's Internal Panel.

- If there are 5 or more approved appraisers in the property's market, the Appraisal Desk will randomly select an approved appraiser.
- If there are 4 or fewer approved appraisers in the property's market, the Appraisal Desk will order the appraisal through an AMC.
- The Appraisal Desk will review all AMC reports and consider quality appraisers for addition to the Internal Panel.

6.2.4 Property Condition

If the appraiser reports the existence of minor conditions or deferred maintenance items that do not affect the safety, soundness, or structural integrity of the property, the appraiser may complete the appraisal "as is." These items must be reflected in the appraiser's opinion of value.

When there are incomplete items or conditions that do affect the safety, soundness, or structural integrity of the property, the property must be appraised subject to completion of the specific alterations or repairs. These items can include a partially completed addition or renovation, or physical deficiencies that could affect the safety, soundness, or structural integrity of the improvements, including but not limited to, cracks or settlement in the foundation, water seepage, active roof leaks, curled or cupped roof shingles, or inadequate electrical service or plumbing fixtures. In such cases, the Borrower must obtain a certificate of completion from the appraiser prior to loan closing.

Matrix Changes

- Maximum Total Exposure to a Guarantor: $6,000,000 (higher exposure available on an exception basis)
- Rate/Term vs. Cash-Out Refis: A loan will only be considered a Rate/Term Refi if the debt being paid off is backed by a lien recorded on Title.
- MAXIMUM LTC MATRIX:

# of Months since Acquisition		
< 3 Months	Rate/Term Refi or Cash-Out Refi:	Max LTC of 80%. If newly renovated and leased-up property (executed lease and proof of security deposit), allow Max LTC of 100%.
3 - 6 Months	Rate/Term Refi:	No limit
	Cash-Out Refi:	Max LTC of 100%.

[1] Cost is the Purchase Price plus paid Hard Cost improvements
[2] Borrower to provide line-item budget showing paid hard costs
[3] A loan will only be considered a Rate/Term Refi if the debt being paid off is backed by a lien recorded on Title

- REQUIRED POST-CLOSING LIQUID RESERVES MATRIX: All loans to the same Borrower and/or Guarantors that close within 90 days of each other will be included in the Liquid Reserves Requirement
- Occupancy Requirements: An exception to the 80%/90% occupancy requirements is available, subject to DCC review. See the Matrix for Vacant Units that may be allowed, subject to DCC review and approval, on properties the Borrower recently renovated that are in the process of initial lease-up at <=100% LTC and 1.10x minimum DSCR (with a 10% haircut to market rents on vacant units). NOTE: this exception is not automatically approved. All loans that fit into this category must be reviewed by DCC and will be approved or denied based on deal metrics, Borrower's strength, track record and property management.
- ACCEPTABLE STATES, DIYA vs. REIL
  - Diya and RE Investment Loans (REIL) do NOT lend in Idaho, Nevada, Utah, North Dakota, South Dakota, Vermont, or US territories
  - California:
    - If Third-Party Originator (TPO) has an active DRE License in good standing, the REIL entity can fund loans.
    - When closing loans in CA, the DRE holder (the TPO) must be on the settlement statement with clear disclosure to the borrower as to who is receiving the origination fee.
    - Diya holds a CFL in CA. If the TPO has a CFL but does not have a DRE, then we must close the loan as Diya. It is acceptable for a CFL holder to broker a loan to another CFL holder.
    - If the TPO does not hold a DRE or a CFL, then we cannot fund loans in CA for you regardless of whether we close as Diya or REIL.
  - Arizona:
    - If your company has an active Arizona Mortgage Broker License in good standing, the REIL entity can fund loans.
    - When closing loans in AZ, the Arizona Mortgage Broker License holder (the TPO) must be on the settlement statement with clear disclosure to the borrower as to

who is receiving the origination fee. Even when closing as Diya, which has an AZ license, the TPO's fees need to be disclosed on the settlement statement.
- If the TPO is not licensed in AZ, then we cannot fund loans in AZ for you regardless of whether we close as Diya or REIL.

- Oregon:
  - If the TPO has an active Oregon Mortgage Lending License in good standing, the REIL entity can fund loans.
  - If the TPO is not licensed in OR, then we can fund loans as Diya, but NOT REIL.
  - When closing loans in OR, the TPO must be on the settlement statement with clear disclosure to the borrower as to who is receiving the origination fee. Even when closing as Diya, which has an OR license, the TPO's fees need to be disclosed on the settlement statement.

- Minnesota:
  - Diya is licensed in MN, and all loans must be closed in Diya's name. The REIL entity cannot be used for loan closings in MN.
  - All broker fees must be clearly disclosed on the settlement statement.
  - If the TPO is not licensed in MN, then we cannot fund loans in MN for you.

- All other US States:
  - Can close as Diya or REIL, and fees can be white-labelled under REIL.

- APPRAISAL REQUIREMENTS
  - Appraisal Panel
    - Diya maintains an Internal Panel of approved appraisers
    - For TPO loans, the TPO can request to use Diya's Internal Panel, a random AMC, or a specific AMC on Diya's approved list
    - TPOs cannot request a specific appraiser
    - For direct appraisal requests, Diya's Appraisal Desk will review Diya's Internal Panel.
      - If there are 5 or more approved appraisers in the property's market, the Appraisal Desk will randomly select an approved appraiser.
      - If there are 4 or fewer approved appraisers in the property's market, the Appraisal Desk will order the appraisal through an AMC.
      - The Appraisal Desk will review all AMC reports and consider quality appraisers for addition to the Internal Panel.